

One of the more interesting dApps in development uses Ethereum's blockchain to facilitate prediction markets. The company Augur seeks to provide a platform that allows users to wager on the results of any event, creating a market for people to test their predictions.³⁴ Hence the term "prediction market." For instance, if someone had sought to predict whether Donald Trump or Hillary Clinton would win the 2016 U.S. presidential election, he or she could have used Augur to create a prediction market and wager against others on the outcome (if the service had been up and running at the time).

Augur uses a cryptotoken, which it calls Reputation (REP), to incentivize people to report on the outcomes of events truthfully. These reporters are different from the people wagering on the outcome of events. The problem with a decentralized prediction market is that there's no centralized authority on the outcome of events. Augur uses REP to reward people who report truthfully and penalize those who lie. Augur explains it as follows:

Those who hold Reputation are expected to report accurately on the outcome of randomly selected events within Augur every few weeks. If holders fail to report accurately on the outcome of an event, or attempt to be dishonest—the Augur system redistributes the bad reporter's Reputation to those who have reported accurately during the same reporting cycle.³⁵

Augur conducted its own crowdfunding effort in 2015, selling 80 percent of a fixed supply of 11 million REP. In so doing, it raised over \$5 million to fund the creation of the platform. Brian Armstrong, CEO of Coinbase, which is one of the largest companies in the cryptoasset sector, has called it an